

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

CONSOLIDATED AND COMPANY STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2015

		GROUP		COMPANY	
	Note	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
REVENUE	4	8,417,621	9,057,292	8,308,592	8,914,256
COST OF SALES	5	(6,591,115)	(6,661,720)	(6,460,440)	(6,556,963)
GROSS PROFIT		1,826,506	2,395,572	1,848,152	2,357,293
Other operating income	6	208,751	300,029	255,309	289,280
		2,035,257	2,695,601	2,103,461	2,646,573
EXPENSES					
Selling and distribution	7	(453,733)	(511,731)	(420,288)	(481,469)
Administration and establishment	8	(1,811,901)	(1,935,930)	(1,794,787)	(1,902,833)
Other operating expenses	9	(347,202)	(340,895)	(339,918)	(322,180)
		(2,612,836)	(2,788,556)	(2,554,993)	(2,706,482)
LOSS FROM OPERATIONS		(577,579)	(92,955)	(451,532)	(59,909)
INTEREST INCOME	10	4,068	1,427	3,751	700
FINANCE COSTS	11	(369,327)	(318,941)	(369,327)	(318,941)
EXCHANGE GAIN ON FOREIGN CURRENCY LOAN	13	174,834	36,769	174,834	36,769
GAIN ON LAND COMPULSORILY ACQUIRED BY THE GOVERNMENT FOR THE STANDARD GAUGE RAILWAY PROJECT		836,962	-	836,962	-
FAIR VALUE GAIN ON INVESTMENT PROPERTY	21	7,273,113	-	7,273,113	-
PROFIT/(LOSS) BEFORE TAXATION	12	7,342,071	(373,700)	7,467,801	(341,381)
TAXATION CHARGE	15(a)	(185,001)	(12,931)	(180,348)	(11,868)
PROFIT/(LOSS) FOR THE YEAR		7,157,070	(386,631)	7,287,453	(353,249)

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

CONSOLIDATED AND COMPANY STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2015 (Continued)

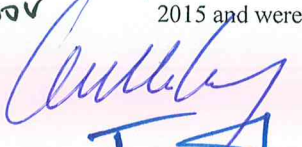
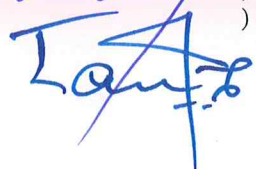
	Note	GROUP		COMPANY	
		2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
PROFIT/(LOSS) FOR THE YEAR		7,157,070	(386,631)	7,287,453	(353,249)
OTHER COMPREHENSIVE INCOME					
<i>Items that may be reclassified subsequently to profit or loss:</i>					
Exchange differences on translation of foreign operation		15,348	1,049	-	-
TOTAL OTHER COMPREHENSIVE INCOME		15,348	1,049	-	-
TOTAL COMPREHENSIVE INCOME/(LOSS) FOR THE YEAR		7,172,418	(385,582)	7,287,453	(353,249)
EARNINGS/(LOSS) PER SHARE					
- Basic and diluted (KShs)	16	79.52	(4.30)	80.97	(3.93)

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 30 JUNE 2015

	Note	2015 KShs'000	2014 KShs'000 (restated)	2013 KShs'000 (restated)
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	17(a)	8,687,860	7,744,551	8,168,171
Capital work- in- progress	18	154,604	701,740	133,752
Intangible assets	19	-	-	39,977
Prepaid operating leases	20	9,348	9,498	11,497
Investment properties	21	9,498,159	2,225,046	2,225,046
Loan swap asset	23	1,573,964	1,834,377	2,044,066
Restricted deposits	24	31,311	30,595	61,742
		19,955,246	12,545,807	12,684,251
CURRENT ASSETS				
Inventories	25	1,856,282	2,046,906	2,038,512
Trade and other receivables	26	1,089,453	845,223	883,028
Amount due from related parties	27	474	474	6,030
Taxation recoverable	15(c)	79,241	116,188	119,262
Short term deposits	24	33,673	31,366	29,558
Bank balances and cash	28	98,213	131,293	373,062
		3,157,336	3,171,450	3,449,452
TOTAL ASSETS		<u>23,112,582</u>	<u>15,717,257</u>	<u>16,133,703</u>
EQUITY AND LIABILITIES				
CAPITAL AND RESERVES				
Share capital	29(a)	450,000	450,000	450,000
Share premium	29(b)	648,000	648,000	648,000
Asset revaluation reserve	29(c)	1,666,628	1,884,722	1,900,899
Retained earnings		11,024,102	3,716,438	4,086,892
Foreign currency translation reserve	29(d)	20,863	5,515	4,466
TOTAL EQUITY		<u>13,809,593</u>	<u>6,704,675</u>	<u>7,090,257</u>
NON CURRENT LIABILITIES				
Loan swap liability	23	1,430,280	1,667,493	1,895,374
Staff gratuity	31	1,035,653	917,954	677,904
Long - term loan	32(c)	2,585,987	2,140,291	2,357,448
Obligations under finance leases	33	-	15,525	43,155
Deferred taxation	34	899,608	759,030	750,087
		5,951,528	5,500,293	5,723,968
LIABILITIES				
Current portion of long - term loans	32(c)	433,232	477,679	324,945
Post import finance loans	32(d)	300,906	324,274	-
Obligations under finance leases	33	16,331	37,964	48,534
Bank overdraft	35	556,003	547,228	853,223
Trade and other payables	36	1,981,596	2,125,144	2,092,776
Dividends payable	37	63,393	-	-
		3,351,461	3,512,289	3,319,478
TOTAL EQUITY AND LIABILITIES		<u>23,112,582</u>	<u>15,717,257</u>	<u>16,133,703</u>

The financial statements on pages 7 to 65 were approved and authorised for issue by the board of directors on 30 NOV 2015 and were signed on its behalf by:

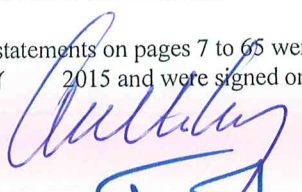
)
) Directors
)

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2015

	Note	2015 KShs'000	2014 KShs'000 (restated)	2013 KShs'000 (restated)
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	17(b)	8,684,752	7,744,446	8,167,990
Capital work- in- progress	18	154,604	701,740	133,752
Intangible assets	19	-	-	39,977
Prepaid operating leases	20	9,348	9,498	11,497
Investment properties	21	9,498,159	2,225,046	2,225,046
Investment in subsidiary	22	2,500	2,500	2,500
Loan swap asset	23	1,573,964	1,834,377	2,044,066
Restricted deposits	24	31,311	30,595	61,742
		<u>19,954,638</u>	<u>12,548,202</u>	<u>12,686,570</u>
CURRENT ASSETS				
Inventories	25	1,841,959	2,040,248	2,019,679
Trade and other receivables	26	942,775	621,052	641,736
Amount due from related parties	27	366,250	333,083	398,077
Taxation recoverable	15(c)	78,398	117,251	119,262
Short term deposits	24	33,673	31,366	29,558
Bank balances and cash	28	80,481	99,531	265,482
		<u>3,343,536</u>	<u>3,242,531</u>	<u>3,473,794</u>
TOTAL ASSETS		<u><u>23,298,174</u></u>	<u><u>15,790,733</u></u>	<u><u>16,160,364</u></u>
EQUITY AND LIABILITIES				
CAPITAL AND RESERVES				
Share capital	29(a)	450,000	450,000	450,000
Share premium	29(b)	648,000	648,000	648,000
Asset revaluation reserve	29(c)	1,666,628	1,884,722	1,900,899
Retained earnings		11,236,379	3,798,332	4,135,404
TOTAL EQUITY		<u>14,001,007</u>	<u>6,781,054</u>	<u>7,134,303</u>
NON CURRENT LIABILITIES				
Loan swap liability	23	1,430,280	1,667,493	1,895,374
Staff gratuity	31	1,035,346	917,954	677,904
Long - term loan	32(c)	2,585,987	2,140,291	2,357,448
Obligations under finance leases	33	-	15,525	43,155
Deferred taxation	34	899,608	759,030	750,087
		<u>5,951,221</u>	<u>5,500,293</u>	<u>5,723,968</u>
LIABILITIES				
Current portion of long - term loans	32(c)	433,232	477,679	324,945
Post import finance loans	32(d)	300,906	324,274	-
Obligations under finance leases	33	16,331	37,964	48,534
Bank overdraft	35	556,003	547,228	853,223
Trade and other payables	36	1,976,081	2,122,241	2,075,391
Dividends payable	37	63,393	-	-
		<u>3,345,946</u>	<u>3,509,386</u>	<u>3,302,093</u>
TOTAL EQUITY AND LIABILITIES		<u><u>23,298,174</u></u>	<u><u>15,790,733</u></u>	<u><u>16,160,364</u></u>

The financial statements on pages 7 to 65 were approved and authorised for issue by the board of directors on 30 Nov 2015 and were signed on its behalf by:


)
) Directors


THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2015

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve* KShs'000	Retained earnings			Foreign currency translation reserve** KShs'000	Total KShs'000
				Investment property revaluation gains KShs'000	Realised profits KShs'000	Total retained earnings KShs'000		
At 1 July 2013	450,000	648,000	1,900,899	2,224,054	1,862,838	4,086,892	4,466	7,090,257
Transfer of excess depreciation	-	-	(23,110)	-	23,110	23,110	-	-
Deferred tax on excess depreciation	-	-	6,933	-	(6,933)	(6,933)	-	-
Loss for the year	-	-	-	-	(386,631)	(386,631)	-	(386,631)
Other comprehensive income	-	-	-	-	-	-	1,049	1,049
Total comprehensive loss for the year	-	-	-	-	(386,631)	(386,631)	1,049	(385,582)
At 30 June 2014	450,000	648,000	1,884,722	2,224,054	1,492,384	3,716,438	5,515	6,704,675
At 1 July 2014	450,000	648,000	1,884,722	2,224,054	1,492,384	3,716,438	5,515	6,704,675
Transfer of excess depreciation	-	-	(287,003)	-	287,003	287,003	-	-
Deferred tax on excess depreciation	-	-	86,101	-	(86,101)	(86,101)	-	-
Transfer of revaluation surplus on disposal of equipment (net of deferred tax)	-	-	(17,192)	-	17,192	17,192	-	-
Dividends paid	-	-	-	-	(67,500)	(67,500)	-	(67,500)
Profit for the year	-	-	-	6,798,255	358,815	7,157,070	-	7,157,070
Other comprehensive income	-	-	-	-	-	-	15,348	15,348
Total comprehensive income for the year	-	-	-	6,798,255	358,815	7,157,070	15,348	7,172,418
At 30 June 2015	450,000	648,000	1,666,628	9,022,309	2,001,793	11,024,102	20,863	13,809,593

* The revaluation surplus represents the surplus arising from revaluation of property, plant and equipment and is not distributable.

** The translation reserve represents the effect of the change in exchange rates at the beginning of the year and at the close of the year on translation

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2015

	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve* KShs'000	Investment property revaluation gains KShs'000	Realised profit KShs'000	Retained earnings KShs'000	Total KShs'000
At 1 July 2013	450,000	648,000	1,900,899	2,224,054	1,911,350	4,135,404	7,134,303
Transfer of excess depreciation	-	-	(23,110)	-	23,110	23,110	-
Deferred tax on excess depreciation	-	-	6,933	-	(6,933)	(6,933)	-
Loss for the year	-	-	-	-	(353,249)	(353,249)	(353,249)
Other comprehensive income	-	-	-	-	-	-	-
Total comprehensive loss for the year	-	-	-	-	(353,249)	(353,249)	(353,249)
At 30 June 2014	450,000	648,000	1,884,722	2,224,054	1,574,278	3,798,332	6,781,054
At 1 July 2014	450,000	648,000	1,884,722	2,224,054	1,574,278	3,798,332	6,781,054
Transfer of excess depreciation	-	-	(287,003)	-	287,003	287,003	-
Deferred tax on excess depreciation	-	-	86,101	-	(86,101)	(86,101)	-
Transfer of revaluation surplus on disposal of equipment (net of deferred tax)	-	-	(17,192)	-	17,192	17,192	-
Dividends paid	-	-	-	-	(67,500)	(67,500)	(67,500)
Profit for the year	-	-	-	6,798,255	489,198	7,287,453	7,287,453
Other comprehensive income	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	6,798,255	489,198	7,287,453	7,287,453
At 30 June 2015	450,000	648,000	1,666,628	9,022,309	2,214,070	11,236,379	14,001,007

* The revaluation surplus represents the surplus arising from revaluation of property, plant and equipment and is not distributable.

THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

CONSOLIDATED AND COMPANY STATEMENTS OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2015

		GROUP		COMPANY	
	Note	2015 KShs'000	2014 KShs'000	2015 KShs'000	2014 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash (used in)/generated from operations	38(a)	(39,326)	743,103	(19,590)	820,697
Interest paid	38(c)	(351,273)	(305,812)	(351,273)	(305,812)
Interest received		1,045	2,038	728	1,311
Income tax paid	15(c)	(7,476)	(914)	(917)	(914)
Net cash (used in)/generated from operating activities		(397,030)	438,415	(371,052)	515,282
CASH FLOWS FROM INVESTING ACTIVITIES					
Purchase of property, plant and equipment	17	(545,651)	(62,264)	(542,251)	(62,264)
Additions to capital work-in-progress	18	(409,320)	(567,988)	(409,320)	(567,988)
Proceeds from sale of land		836,970	-	836,970	-
Proceeds from sale of motor vehicles		4,624	1,600	4,624	1,600
Redemption of restricted deposits		-	31,147	-	31,147
Net cash used in investing activities		(113,377)	(597,505)	(109,977)	(597,505)
CASH FLOWS FROM FINANCING ACTIVITIES					
Dividends paid	30	(3,899)	-	(3,899)	-
Receipt of asset finance loan	38(b)	1,083,751	401,551	1,083,751	401,551
Repayment of asset finance loan	38(b)	(216,333)	(104,771)	(216,333)	(104,771)
Loan repayment	38(b)	(347,482)	(358,779)	(347,482)	(358,779)
Receipt of post import finance loans	38(b)	300,906	363,668	300,906	363,668
Repayment of post import finance loans	38(b)	(324,274)	(39,394)	(324,274)	(39,394)
Repayment of finance lease obligation	38(d)	(37,158)	(38,200)	(37,158)	(38,200)
Net cash generated from financing activities		455,511	224,075	455,511	224,075
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(54,896)	64,985	(25,518)	141,852
Effects of exchange rate changes on the balance of cash		15,348	1,049	-	-
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		(384,569)	(450,603)	(416,331)	(558,183)
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	38(e)	(424,117)	(384,569)	(441,849)	(416,331)